

Exhibit 75: Proposed Portfolio Allocation for Mr Talwar

Asset Class	Category	Sub-category	% Allocation	Pre-tax Returns	Post-tax Returns
Equity	Large-cap	Large-cap ETFs	20.0%	15.0%	15.0%
	Multi-cap	Coffee Can Portfolio	20.0%	20.0%	20.0%
	Mid-cap	Small-midcap mutual funds	20.0%	18.0%	18.0%
		Good & Clean portfolio	20.0%	22.0%	22.0%
Debt	Short-term	Short-term mutual funds	20.0%	8.0%	7.4*%
Grand Total			100.0%	16.6%	16.5%
Total Assets		592			

Source: Ambit Capital

*Assumed 8 per cent effective tax for debt funds after considering Indexation.

At this point, Nikhil reiterated the importance of low-cost funds—ETFs and direct schemes. As a comparison, he calculated that Mr Talwar’s pretax returns would have fallen to an annualized 15.6 per cent from the 16.6 per cent shown in the exhibit above had he invested in regular schemes with higher expenses.⁵

Dusk was enveloping Noida and Mr Talwar’s relief at being able to rationally plan his financial future was such that he brought out a twenty-year-old single malt he had saved for a special occasion. After Nikhil and he raised a toast to his long-term financial security, Mr Talwar turned on some music (Kishore Kumar: Greatest Hits from the 1970s) and stretched out on his favourite couch to relax.